Data request — VRS and DHRM

Approved for transmission by the board, 12 October 2026. Signed by Moody as the proposal's author; no organisation named. *Going out the week of 12 October 2026 — email first, hard copy to follow. Response date 20 November 2026 and drafting target 30 November 2026 both unchanged. Send instructions: V2-send-packet.*

This is the G24 data request, with the actuarial ratio added as item 1. It is addressed to the Director of the Virginia Retirement System and, for the workforce and benefit items, to the Director of the Department of Human Resource Management.

Why I am asking

I am preparing a 2027 session proposal for a bounded four-year pilot. It would create two narrow, post-window pathways for Plan 1 and Plan 2 state employees to purchase qualifying active-duty military service at approximate normal cost, in each case in exchange for a near-term retirement. The existing 24-month cost window, the 48-month military-service maximum and the eligibility conditions in the Code are all left unchanged.

I have built a preliminary fiscal model from published VRS data only. It is adequate to size the proposal and it is not adequate for a fiscal note. I am not asking VRS to endorse the proposal, and I make no claim that it is actuarially neutral, minimal in impact or self-funding. I am asking for the figures that let the General Assembly see the real cost before it votes.

Where I have had to estimate, I say so below and I show my estimate, so that VRS can see exactly which of my numbers its answer would replace.

Scope, so no one has to guess

- Plan 1 and Plan 2 only. The Hybrid Retirement Plan is outside the proposal.
- State employees in the VRS State Employees (non-hazardous-duty) plan only. The State Police Officers' Retirement System, the Virginia Law Officers' Retirement System and the Judicial Retirement System are expressly excluded, as are employees of participating local governments and school divisions.
- Qualifying active-duty military service as the Code and VRS already define it: at least 180 consecutive days of full-time active duty, discharge not dishonorable, service not qualifying the member for a military pension at the time of purchase, and the 48-month maximum not already consumed.
- **Items 12 and 13 concern VaLORS and SPORS, which are expressly excluded.** They are asked for contingency pricing only, so that a floor amendment adding those plans can be priced before it is offered rather than after. They are not a signal that I intend to expand the bill.

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1. The actuarial ratio — the item that matters most

Request. For members of the VRS State Employees plan in Plan 1 and in Plan 2, the ratio of the actuarial-equivalent cost of purchasing one year of service credit to the approximate normal cost of the

same purchase, broken out by five-year age band from age 45 through 70 and by plan tier. Separately for the two pathway cases if they differ:

- (a) a purchase that advances the member's date of eligibility for an unreduced retirement allowance; and
- (b) a purchase by a member already eligible for an unreduced allowance, which raises the benefit amount without advancing eligibility.

Why. VRS defines actuarial-equivalent cost as the present value of the higher benefit or earlier eligibility that the purchased service creates. The price the member would pay is already public and verified — 12.50% of salary per year purchased for Plan 1 and 10.74% for Plan 2, from the cost-rate chart effective 1 July 2025. What I cannot compute is the other side. I have therefore carried the ratio as an unknown k and printed my model at k = 1.5, 2.0, 2.5 and 3.0 rather than pick one.

What I expect, so my bias is on the record. I expect k to be high for this cohort. Actuarial-equivalent cost rises sharply with age, and both pathways deliberately reach the oldest members in the plan. I would rather have a high number from VRS than a flattering one from me.

This single figure determines whether the proposal is affordable. If VRS can answer only one item on this list, I ask that it be this one.

2. Plan-tier counts for state employees

Request. Active members of the VRS State Employees (non-hazardous-duty) plan at 30 June 2025, counted by plan: Plan 1, Plan 2, Hybrid.

What I have had to do instead. The *Annual Actuarial Valuation, June 30, 2025* publishes 81,274 active State Employees and a full age × total-service table at p. 50, but not the plan-tier split. I derived the split by applying the statutory tier boundaries to total service: Plan 1 at 15.0 years or more, Plan 2 between 11.5 and 15.0, Hybrid below 11.5. That gives Plan 1 20,872, Plan 2 8,122, Hybrid 52,280.

Known weakness of my proxy, which is why I am asking. A member who refunded and returned, purchased prior service, or had a break in service can hold total service that does not match the hire date. My figure is a service proxy for a hire-date rule.

3. Veterans among them

Request. Of the members in item 2, the number recorded as veterans, by plan tier. If VRS does not hold veteran status, the number for whom DHRM does.

What I have had to do instead. DHRM's January 2025 presentation to the Senate Finance and Appropriations Committee reports veterans as 6% of the classified state workforce, sourced to EPR reports at 30 June 2024. Virginia's veteran share of the civilian labour force is 8.1% from BLS 2025 annual averages. I modelled 6% / 8% / 10% and treated 6% as a floor rather than a central estimate.

Please state the completeness of the field. My earlier work found the veteran-status field blank or “unknown” for 69% of members. If that is still the position, the recorded count is a floor and I need to know by how much. An honest “I do not know” is more useful to me than a count that understates.

4. Members holding qualifying purchasable service — the weakest number I have

Request. Of the veterans in item 3, the number with qualifying active-duty military service that is available to purchase and not already purchased — that is, who meet all four conditions in "Scope" above and have not consumed the 48-month maximum.

What I have had to do instead. I assumed 35% / 50% / 65%. This assumption has no source at all. It is the weakest figure in my model and it moves the answer more than any other dial: holding everything else at the central case, moving this share from 35% to 65% takes participants from 29 to 54.

The military-pension exclusion is what makes it unguessable. A member who served twenty years and draws retired pay is excluded outright, and that is the slice most likely to hold a senior state position.

5. The two pathway populations

Request. Of the members in item 4:

- (a) the number already eligible for an unreduced retirement allowance; and
- (b) the number who are not yet eligible but would become eligible by purchasing up to 48 months of service credit.

Note on (b), which is easy to get wrong. Please read it as a reach test, not a proximity test. Purchased service adds service, not age. A member whose only route to an unreduced allowance is the Plan 1 age-65 rule or the Plan 2 normal-Social-Security-age rule cannot reach eligibility by purchasing at any price. I ask for the members for whom purchased service actually advances the eligibility date — in practice, Plan 1 members at or above age 50 approaching 30 years of service, and Plan 2 members approaching the Rule of 90.

What I have had to do instead. Derived from the p. 50 table: 6,254 already eligible and 2,396 able to reach eligibility with 48 months or less, out of 28,994. I also computed the proximity screen for comparison — 5,177 — and discarded it as the wrong test.

One limitation I should state rather than have found. Both of my figures are a 30 June 2025 snapshot. The pilot would run four years, during which members age and accrue service, so both pools understate. A roll-forward of the published table suggests the understatement is of the order of 20% at the mid-point of a four-year pilot. If VRS can supply the counts projected to the pilot years rather than as at the valuation date, that would be better than anything I can do.

6. Average qualifying military months

Request. For the members in item 4, the average and the distribution of qualifying military months available to purchase.

Why. It sets how much service the Bridge pathway would actually sell. I modelled an average of 24.0 months for the reach cohort, spread uniformly from 1 to 48. The average is reasonably robust; the shape is an artefact of my method and I do not defend it.

7. Average salary by cohort

Request. Average creditable compensation, and average final compensation if available, for each population in items 2, 3, 4 and 5.

Why. The member payment is charged on creditable compensation or average final compensation, whichever is higher, so my figures are floors. I used $84,753 for the already-eligible cohort and $83,222 for the reach cohort, derived from the published age × service table.

8. Historical purchase participation

Request. For the last five fiscal years, for state employees: purchases of prior service completed, split by type of service, by whether the purchase was made inside or outside the 24-month cost window, and by plan tier. Military-service purchases identified separately if the data allows.

Why. It is the only real evidence of how members behave when offered a purchase, and it is the only check available on my take-up assumption of 5% / 12% / 25%. I have no source for that assumption either.

9. Program administration cost

Request. VRS's and DHRM's estimate of the cost to administer the pilot, shown separately from any pension-cost estimate, covering: eligibility determination per applicant; the per-member calculation of months needed to reach a threshold; the six-month retirement check; assessment and collection of the actuarial true-up from a participant who does not retire; payroll-system changes; and the annual report to the General Assembly.

Why I am not carrying a number forward. An earlier version of this proposal carried a $375,000 one-time estimate. That figure priced a certified-subsidy cap, a published queue and a central reservation system, none of which exist in the current design. The current design adds work the earlier one did not have. I would rather leave this line visible and empty than fill it with a figure I cannot defend.

10. Benefit-commencement cost

Request. For a purchase under item 5(b), the present-value cost to the trust fund of earlier benefit commencement, net of forgone future benefit accrual and forgone member and employer contributions for the period the member would otherwise have worked.

Why. This is the largest cost in the proposal and no member payment can reach it. I have deliberately left it unquantified rather than estimate it, and my model says so in terms.

11. State health-insurance premium per employee — DHRM

Request. The current employer cost of state health insurance per active employee.

Why. A position that is not refilled saves it; a position refilled at a lower salary does not. It is the one line missing from my workforce ledger.

12. Veterans among VaLORS and SPORS members — contingency only

Request. Active members of the Virginia Law Officers' Retirement System and the State Police Officers' Retirement System recorded as veterans, by plan tier, with the same note on the completeness of the field.

Why I am asking about plans the bill excludes. The proposal excludes them expressly, and I expect an amendment to add VaLORS. I would rather price that amendment before it is offered than after. To do so I have had to apply the 6% classified-workforce veteran share to a law-enforcement population, where it is almost certainly too low, and I hold no Virginia figure to replace it with. **This item does not indicate any intention to expand the bill.**

13. The hazardous-duty five-year service test — contingency only

Request. Whether purchased prior service — specifically qualifying active-duty military service — counts toward the five years of service credit required for a VaLORS or SPORS member to retire with an unreduced allowance at age 60 with hazardous-duty benefits; or whether that five years must be VaLORS, SPORS or enhanced-hazardous-duty covered service.

Why. VRS publishes that purchased military service does not count toward the 20 years of hazardous-duty service the hazardous-duty supplement requires. Whether the same exclusion applies to the five-year eligibility test is the difference between 150 and 225 members in the reachable population I have computed for VaLORS. I have taken the stricter reading and would like to know whether it is right.

What I will do with the answers

Publish them, with attribution and retrieval dates, and retire my own estimates. Every figure I have derived or assumed is labelled as such in my documents, and each item above names the figure it would replace. I will correct the record wherever a VRS figure differs from mine, including where it makes the proposal look worse.

I have made no claim about the cost of this proposal and I will not make one. My materials state that only VRS can price it.

What I am not asking for

- No individual or identifiable member data. Aggregate counts only, suppressed to VRS's own threshold where a cell is small.
- No endorsement of the proposal, and no actuarial opinion beyond items 1 and 10.
- No bespoke modelling. Where a figure exists in a form VRS already produces, that form is fine.

Contact and next step

Response requested by **20 November 2026**, to support a drafting request to the Division of Legislative Services by 30 November 2026. I am glad to take any part of this by meeting instead of in writing, and glad to narrow the request if items 1, 4 and 5 are the only ones that can be answered in the time available — those three carry most of the uncertainty.

A separate letter accompanying this one asks a legal question about the enforceability of the retirement condition. It is sent together deliberately: item 1 here and question 1 there are the two items that decide whether this design survives.

Thank you for considering this. I am glad to make any of it easier — to narrow the request, to take it by meeting, or to put it in whatever form is least work for your staff.

Yours sincerely,

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Author of the proposal · writing in a personal capacity

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13 October 2026

Addressees

To	Patricia S. Bishop, Director, Virginia Retirement System, 1200 East Main Street, Richmond, VA 23219
Copy	Jillian L. Sherman, ACP, MPA, Legislative Liaison and Policy Analyst, VRS · Michael Cooper, Chief Operating Officer, VRS (item 9)
To	Janet L. Lawson, Director, Department of Human Resource Management, 600 East Main Street, 17th Floor, Richmond, VA 23219 — items 3, 9 and 11
Copy	Stacy Pendleton, Deputy Director, Human Resource Consulting Services, DHRM · Gary Johnston, Director of Health Benefits Services, DHRM
Subject	Data and actuarial-ratio request in support of a 2027 legislative proposal on purchase of prior military service
Purpose	To replace my estimates with VRS's and DHRM's own figures before a fiscal note is prepared
Response requested by	20 November 2026, to meet a 30 November drafting request
Not a FOIA request	This is legislative and policy correspondence. Several items ask for figures that would have to be computed, which the Freedom of Information Act does not require of a public body. I am asking rather than compelling

Sent by email and by post. Email first, to the addresses in V2-send-packet §2, with this letter attached as a PDF; a signed hard copy follows by post. Verify each addressee by telephone on the day of sending.